

Historically, the motel business odds have been vastly superior than the aforementioned. The probability of a loss has likely been well under 25 percent and probability of a 100 percent loss is well under 5 percent. The Patels have not been shy about putting up large portions of their bankroll on these mouthwatering odds when they placed their second, third, and n th bet. They hadn't heard of Kelly or his formula, but it made perfect Dhandho sense to them. The result is that Patels, as a group, today own over \$40 billion in motel assets, pay over \$725 million a year in taxes, and employ nearly a million people. In a speech at the University of Southern California's Marshall School of Business, Charlie Munger said:

The wise ones bet heavily when the world offers them that opportunity. They bet big when they have the odds. And the rest of the time, they don't. It's just that simple.³

—Charlie Munger

Papa Patel, Manilal, Mittal, and yours truly have always fixated on making very few bets—and each bet is pretty large. All have tried to place bets when the odds were heavily in our favor. This betting lingo is deliberate. To be a good capital allocator, you have to think probabilistically. The most obvious business model entirely based on overt probabilities is a casino. Connoisseurs of blackjack know that the odds change with every card that is dealt. They are always fixating on trying to figure out when the odds are with them and raising their bets accordingly.

As blackjack is played today in casinos, the overall odds are soundly with the house and playing blackjack at a casino is a losing proposition. (I have to admit that this hasn't stopped me yet.) But it wasn't always a losing proposition. In the 1960s, an MIT math professor, Ed Thorp, used MIT's computers to run a variety of calculations and came up with optimized blackjack play. Thorp named the optimal play of cards Basic Strategy. He